

Cost Advantages to Existing Players

(Location/Unique Resources)

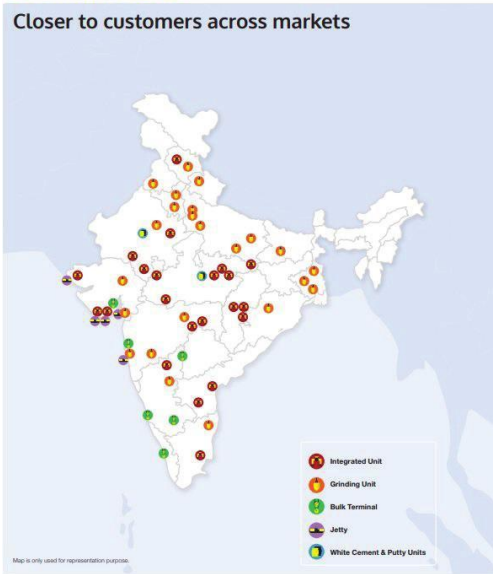
(Yes/No)

Location or access to unique resources can be a great source of competitive advantage to the existing players in any industry.

Location

OPERATIONAL PRESENCE

Closer to customers across markets



- Location can reduce logistics costs for players if they are strategically located near the raw materials or the markets.
- There might be low availability of space in the surroundings for new entrants to set shop, thus forcing them to a location that is relatively less attractive.

Source: <https://www.investopedia.com/terms/p/porter.asp>

Such cost advantages for existing players can make access to the industry difficult, thus reducing the threat of entrants.

Unique Resources

Also, unique resources with a firm cannot be accessed by any other entrant. Cost benefits from these resources cannot be copied by entrants, thus making entry into the industry difficult.

Google
Algorithms developed are unique.

DE BEERS
JEWELLERS

Raw material is the unique resource.